COLLISION ENGINEERS
INDEPENDENT AUTOMOTIVE EXPERTS

REBUTTAL OF CLAIM FOR DIMINUTION IN VALUE

FAO: The Instructing Solicitor

We have been instructed to comment upon a Vehicle Diminution in Value Assessment prepared by Exclusive Vehicle Assessors ("EVA"). Having reviewed it, it is our professional opinion that the claim for diminution in value should be rejected. There is no evidence that the vehicle has suffered any actual, detectable or permanent loss of value, and the figure put forward has been produced by a methodology that is unreliable for the reasons set out below.

THE DAMAGE AND REPAIRS WERE SUPERFICIAL

- The damage in this case, and the repairs carried out to address it, were superficial and cosmetic in nature.
- The work was confined to outer, bolt-on panels and their refinishing – items such as bumpers, wings, doors, mirrors and trim – together with the associated painting and minor sundries. It did not involve any structural, welded or bonded component, nor the suspension, steering, chassis, or any airbag or safety-restraint system.
- The vehicle's structural integrity was never compromised. The repair restored cosmetic appearance; it did not address – because it did not need to address – anything fundamental to the soundness or safety of the vehicle.
- Superficial repair of this kind is commonplace on used vehicles. A buyer who became aware of it would recognise it for what it is, and would not treat cosmetic work of this nature as materially affecting the value of the vehicle.

THE VEHICLE IS NOT NECESSARILY A DIMINUTION-SENSITIVE VARIANT

- Diminution arguments carry real weight for scarce, high-value prestige or performance vehicles, where accident-free examples are hard to find and buyers pay a premium for unblemished history.
- They carry far less weight for entry-level, mass-market models. Buyers in that segment focus on price, mileage, specification, service history and warranty, and do not, as a rule, concern themselves with whether minor cosmetic repairs have previously been carried out.
- Where the report records a substantial number of comparable vehicles available on a single national search, the buyer has ample alternative choice and any stigma argument is weakened rather than supported. EVA's own multiplier scale concedes this by reducing the multiplier as the number of comparables rises.

NO PHYSICAL INSPECTION OF THE VEHICLE

- EVA's diminution assessment is a desk-based exercise produced from documents alone. The vehicle is not inspected.
- No paint-depth readings are taken across the repaired and adjacent panels, which would establish whether the refinish is within OEM tolerance and whether it is detectable at all.
- No panel-gap or alignment measurements are taken to establish whether fit and finish meets manufacturer specification.

- No colour-match assessment is carried out in daylight, and no inspection is made for overspray, blending edges or polish marks.
- This matters because a properly repaired vehicle that has not been written off carries no total-loss or insurance-database marker. Where there is no marker, the only way a buyer would ever learn of the repair is by detecting it on inspection.
- Without any evidence that the repair is detectable, the assertion of a “permanent and measurable” loss of value is unsupported.

THE STIGMA SCALE IS NOT A RECOGNISED METHODOLOGY

- The graduated stigma scale applied by EVA – 3.5%, 6.5%, 15% and 22%, banded by repair cost as a proportion of pre-accident value is an in-house formula.
- It does not correspond to any methodology endorsed by the Association of British Insurers, Thatcham, Glass's or CAP HPI.
- The scale applies a flat percentage based only on repair cost as a proportion of value. It takes no account whatsoever of the nature of the damage.
- On this scale the same percentage applies whether the money was spent on a cosmetic bumper refinish or on structural chassis straightening following airbag deployment. Real-world buyers plainly distinguish between the two. The formula cannot.

THE MARKET MULTIPLIER IS EQUALLY UNEVIDENCED

- The multiplier – 1.25, 1.15, 1.0, 0.9 and 0.8, banded by the number of comparables is a further in-house adjustment.
- No basis is given for the band thresholds of 5, 10, 20 and 30, or for the size of the increments between them.
- A snapshot count of adverts on a single day on one website cannot demonstrate how buyers actually behave. It is an unevidenced adjustment layered on top of an unevidenced base figure.

NO SUPPORTING MARKET EVIDENCE

- EVA's reports typically record that keyword searches for “insurance loss” and “accident repaired” comparables returned zero relevant listings.
- On that basis they are unable to identify a single accident-repaired example on the open market to support their own conclusion.
- The figure produced is therefore entirely formula-driven. It is not derived from any observed market behaviour.

INCONSISTENCY WITH THE ABI BENCHMARK FOR RECORDED WRITE-OFFS

- ABI guidance is that a vehicle carrying a previous total-loss marker – Category N or Category S – typically attracts a deduction of around 20% from open-market value.
- A Category S vehicle is one with recorded structural damage, a permanent HPI marker, and an insurer's determination that it was uneconomic to repair.

- The EVA scale, in its upper bands, is capable of producing deductions in excess of 20% on properly repaired vehicles that carry no database marker and have suffered no structural damage. The maximum output of the formula is 22% multiplied by 1.25, which is 27.5%.
- Consider two identical vehicles. The first has been properly repaired, with no structural damage, a clean history check and no marker of any kind. The second has been recorded as Category S – structurally damaged, written off as uneconomic, and flagged on every history check a buyer runs. ABI guidance puts the Category S car's discount at around 20%. The EVA scale, at its upper end, would discount the clean, unmarked car by as much as 27.5%.
- That would mean a properly repaired car with no marker selling for less than a recorded structural write-off. No buyer behaves that way. That cannot be right.
- Even where the figure produced in a particular case is modest, it is produced by the same formula that generates these results in heavier cases. On non-fault claims, repair authorisation routinely runs to 75% and occasionally 80% of pre-accident value, so the upper bands are reached in practice and not merely in theory. A scale that breaks down at its upper end cannot be relied upon at its lower end either.

COST IS NOT A PROXY FOR SEVERITY

- EVA reports commonly assert that the recorded repair cost "should not be characterised as minor in nature." That comment is directed at the headline cost figure, not at the work itself.
- Modern OEM parts, two-coat metallic and pearl refinish, glass-out operations, calibration and four-wheel alignment are inherently expensive. Four-figure totals are entirely typical for cosmetic front-corner or side-impact damage on a current-model vehicle. Cost is not a proxy for severity.

STANDING OF THE AUTHOR

- EVA reports are commonly authored by individuals holding the designations CAE and AMIMI.
- To our understanding, CAE ("Certified Automotive Engineer") is a paid designation available to individuals working within the automotive sector, rather than an independently assessed measure of competence.
- To our understanding, AMIMI (Associate Member of the Institute of the Motor Industry) is a membership grade obtained on application and subscription, rather than a technical qualification specific to vehicle damage assessment.
- The recognised UK standard for damage assessment is the IMI Automotive Technician Accreditation in Vehicle Damage Assessment (ATA VDA), which requires independent competence assessment and periodic re-assessment – a materially more rigorous basis than a membership grade obtained on subscription or a paid designation.
- This is not a personal criticism. It is relevant to the weight that may properly be attached to opinions on repair methodology, repair detectability, and the practical effect of cosmetic repair on market value.

CONCLUSION

For the reasons set out above, it is our professional opinion that the claim for diminution in value should be rejected. There is no evidence that the vehicle has suffered any actual, detectable or permanent loss of value. The figure put forward rests on an in-house formula that is unrecognised by the recognised industry bodies, unevidenced in its bandings, unsupported by any market comparable, and internally inconsistent with the established benchmark for recorded write-offs. We do not consider any sum to be properly recoverable in respect of diminution in value.

Yours faithfully,

Collision Engineers Ltd

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